EVALUATION

FCDM7W

I. Multiple Choice Questions:

1. The liability which may or may not arise in the future for payment is _____.
   a. Certain liability
   b. Contingent liability
   c. Expenses
   d. Revenues

2. While verifying the capital of a partnership firm, the important document to be verified is _____.
   a. Memorandum of Association
   b. Partnership Deed
   c. Both
   d. None of the above

3. While verifying the share capital of joint stock companies, the important document to be verified is _____.
   a. Memorandum of Association
   b. Partnership Deed
   c. Both
   d. None of the above

4. _____ denotes the verification made by the auditor to know whether the liabilities are properly valued.
   a. Valuation
   b. Assessment
   c. Computation
   d. None of the above

5. Creditors and Bank over draft are _____
   a. Current Assets
   b. Fixed Assets
   c. Current Liabilities
   d. Fixed Liabilities

6. In _____ side of the balance sheet, outstanding wages, salaries, rent, tax and interest etc. have to be shown.
   a. Assets
   b. Liabilities
   c. Both
   d. None of the above

7. The difference between the subscribed capital and called-up capital is called _____
   a. Calls-in Arrears
   b. Calls-in Advance
   c. Paid-up Capital
   d. Reserve Capital

8. _____ is created out of capital profits of the company.
   a. Capital Reserve
   b. Reserve Capital
   c. Subscribed Capital
   d. Calls-in Advance

9. _____ is an acknowledgement of a debt received by the company.
   a. Shares
   b. Debentures
   c. Bonds
   d. Fixed Deposits

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